Dolly Yu

Yale University, School of Management
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EDUCATION

Yale University, School of Management Expected May 2027
PhD Candidate in Financial Economics.

Yale University May 2019
Master of Arts in International and Development Economics, High Distinction.

University of Toronto, St. George Campus June 2018
Honours Bachelor of Science in Economics and Statistics, CGPA: 3.90/4.00.

RESEARCH INTERESTS

Household Finance, Financial Innovation, Financial Intermediation, FinTech.

WORKING PAPERS

"The Shadow Cost of Credit: Payment Choice and Credit Capacity" (Job Market Paper)
with Jose Murillo (Primero AI)

Linking 1.5 million delivery orders to households' daily credit positions, we find that a household's cash use rises in a convex pattern with its credit utilization. We explain this pattern with a model in which households preserve available credit for unexpected expenses that require credit. As utilization rises, the remaining credit is more likely to fall short of such an expense; therefore, each dollar of routine spending paid on credit carries a higher shadow cost, and households substitute cash for credit. Using a regression discontinuity design, we show that bank-initiated limit increases reduce cash use, most among households near their limit, as the model predicts. We estimate that for a household that pays no interest, a dollar on credit carries a shadow cost of 5 cents at 20 percent utilization and 24 cents at 80 percent, close to the 25 cents of cumulative interest on a dollar of revolving debt.

"Fintech to the (Worker) Rescue? Earned Wage Access, Worker Welfare and Employee Retention" [SSRN]
with Jose Murillo (Primero AI) and Boris Vallée (INSEAD)

We study the usage and welfare implications of earned wage access (EWA) using administrative and survey data from a Mexican FinTech provider. Adoption is significant, and usage concentrates at the end of the pay cycle. We develop a stationary buffer-stock framework, calibrated to the data, in which EWA provides liquidity insurance and consumption-timing alignment. Access is worth about 2.5% of a paycheck per year for the average user, and an order of magnitude more for impatient, low-liquidity workers. Automatic repayment makes these gains more robust to present bias than with revolving credit. EWA usage is associated with higher employee retention, as the framework implies.

"Riding the Waves: Geographic Diversification and Bank Responses to Local Funding Shocks"
with Wei Li (UIBE) and Mingmei Liu (JNU)
Best Paper Award, The 8th Asia Conference on Business and Economic Studies, 2026

How resilient are banks to local funding shocks? We exploit a segment of Chinese wealth management products (WMPs) funded locally but backed by national assets, allowing us to isolate banks' strategic responses to local funding pressures. Using city-level inflation to characterize investor demand shifts, we find that banks pass through approximately 60% of these shocks to WMP yields. Large, geographically diversified banks respond more actively, by raising yields and contracting issuance in shock-hit markets more sharply than smaller banks. They then hedge by expanding the issuance of lower-yield WMPs in unaffected regions. Our findings reveal that for large banks, geographic diversification is not a tool for passive insulation but a mechanism enabling active, high-frequency liability management through their internal capital markets.

WORK IN PROGRESS

"The Economics of Rent-to-Own Housing"

CASE WRITING

"A Case in Point: Shared Home Equity" [HBS Publishing]
with Boris Vallée, Daniel Green, and Sid Beaumaster (all HBS). Harvard Business School Case 221-026

"Seso Global: Building a Blockchain-enabled Property Marketplace in Nigeria" [HBS Publishing]
with Boris Vallée (HBS). Harvard Business School Case 220-055

CONFERENCE AND SEMINAR PRESENTATIONS

2026
Asian Meeting of the Econometric Society*
The 8th Asia Conference on Business and Economic Studies*
Peking University FinTech Workshop*
SGF Conference
Midwest Finance Association (MFA)
Yale Finance Lunch (x2)

2025
Paris December Finance Meeting*
European Winter Meeting of the Econometric Society (EWMES)*
Sydney Banking and Financial Stability Conference*
Yale Finance Lunch (x2)

2024
Yale Finance Lunch (x2)

2023
NBER Innovative Data in Household Finance
Yale Finance Lunch (x2)

2021
HBS Brownbag*

** Presented by co-author*

HONORS AND AWARDS

PhD Fellowship, Yale University	2021 – present
PhD Travel Grant, Yale University	2021 - present
Best Paper Award, The 8th Asia Conference on Business and Economic Studies	2026
New College Council In-Course Scholarship, University of Toronto	2016
Dean's List Scholar, University of Toronto	2015, 2016, 2018

TEACHING EXPERIENCE

Teaching Fellow, Yale University
- Household Finance (PhD)
- Personal Finance (MBA)
- Fixed Income Securities (MBA)
- Capital Markets (MBA)
- Derivative Securities (MBA)

RESEARCH EXPERIENCE

Research Associate, Harvard Business School July 2019 – June 2021
to Professor Boris Vallée and Jonas Heese
Selected Research Acknowledgements:
"Can Security Design Foster Household Risk-Taking?" by Laurent Calvet, Claire Celerier, Paolo Sodini and Boris Vallee (Journal of Finance, 2023)
"FinTech Lending and Cashless Payments" by Pulak Ghosh, Boris Vallee and Yao Zeng (Journal of Finance, 2026)

PROFESSIONAL EXPERIENCE

Summer Intern, Chang'an International Trust, Qingdao, China May 2016 – July 2016

UNIVERSITY AND COMMUNITY SERVICE

Mentor, Economic Students' Association Mentorship Program September 2017 – May 2018

REFERENCES AND DISSERTATION COMMITTEE

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